NORTHBRIDGE DYNAMICS, INC.

2025 Annual Report

Fiscal Year Ended December 31, 2025

NYSE: NBDX | Cloud Infrastructure • Data Analytics • Managed Security

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Letter to Shareholders

Dear Fellow Shareholders,

Fiscal year 2025 was a defining year for Northbridge Dynamics. We delivered total revenue of $738.4 million, up 14.0% year-over-year, while expanding our net margin to 14.0% from 13.0% in the prior year. These results reflect the discipline of our teams, the strength of our platform strategy, and the trust our customers continue to place in us as they modernize their infrastructure and data operations.

Our Cloud Infrastructure segment remained the primary growth engine, contributing $312.5 million in revenue, or 42.3% of total company revenue, as enterprise customers accelerated migration of mission-critical workloads to our platform. Our Data Analytics Platform segment grew even faster on a percentage basis, benefiting from strong adoption of our newly launched real-time analytics engine, Northbridge Pulse, which we believe positions us well for the next phase of platform consolidation in the market.

We also made significant progress against our long-term capital allocation priorities. We invested $94.7 million in research and development, a 19.7% increase over fiscal 2024, while returning capital to shareholders through a $40 million share repurchase program. Our balance sheet remains strong, with $286.3 million in cash and cash equivalents and a net-debt-to-EBITDA ratio of 0.6x at year end.

Looking ahead to fiscal 2026, we are focused on three priorities: (1) deepening our enterprise relationships through expanded managed services offerings, (2) accelerating the rollout of Northbridge Pulse into new verticals including healthcare and financial services, and (3) continuing to improve our operating leverage as we scale. We believe these priorities, combined with a disciplined approach to capital allocation, will continue to create durable long-term value for our shareholders.

On behalf of the entire Northbridge Dynamics team, thank you for your continued confidence and support.

Sincerely,

Eleanor J. Whitfield
Chief Executive Officer & Director

Marcus T. Delgado
Chief Financial Officer

Forward-Looking Statements

This annual report contains forward-looking statements within the meaning of applicable securities laws, including statements regarding our future financial performance, business strategy, planned products and services, and market opportunity. These statements are based on current expectations and assumptions that are subject to risks and uncertainties. Actual results could differ materially from those anticipated in these forward-looking statements as a result of various factors, including those discussed in the “Risk Factors” section of this report. Northbridge Dynamics undertakes no obligation to update or revise any forward-looking statements, whether as a result of new information, future events, or otherwise, except as required by law.

Note: This document is a fully synthetic annual report created for the purpose of testing document-understanding and retrieval-augmented generation (RAG) systems. Northbridge Dynamics, Inc. is a fictional entity. Any resemblance to real companies, individuals, or securities is coincidental and unintended.

Company Overview

Northbridge Dynamics, Inc. ("Northbridge," "the Company," "we," "our," or "us") is a provider of cloud infrastructure, data analytics, and managed security solutions headquartered in Denver, Colorado, with additional offices in Austin, Toronto, Dublin, and Singapore. Founded in 2011, the Company has grown from a niche database-hosting provider into a diversified enterprise technology platform serving more than 4,200 mid-market and enterprise customers across 38 countries.

Our mission is to help organizations turn infrastructure into a competitive advantage by providing a unified platform for compute, storage, analytics, and security that scales from a single application to a global, multi-region deployment. We generate revenue primarily through subscription-based software licensing, usage-based cloud consumption fees, and professional services.

Key Corporate Facts

Metric	Value
Founded	2011
Headquarters	Denver, Colorado, USA
Stock Exchange / Ticker	NYSE: NBDX
Fiscal Year End	December 31
Total Employees (FY2025)	3,620
Customers Served	4,200+
Countries of Operation	38
FY2025 Total Revenue	$738.4 million
FY2025 Net Income	$103.6 million

Corporate History

Northbridge was founded in 2011 by a group of infrastructure engineers who set out to simplify database hosting for growing software companies. The Company completed its initial public offering in September 2019 and has since completed four strategic acquisitions, most recently the 2024 acquisition of Vantage Point Security, a managed detection and response provider, which now forms the foundation of our Managed Security segment.

Year	Acquisition	Segment Added / Strengthened	Approx. Value
2016	Cascadia DataWorks	Data Analytics Platform	$18.2M
2019	Init Public Offering (NYSE: NBDX)	—	$210M raised
2021	Meridian Compute	Cloud Infrastructure	$64.5M
2022	Aperture Labs	Data Analytics Platform	$41.0M
2024	Vantage Point Security	Managed Security	$132.8M

Human Capital Management

Our employees are critical to our success, and we are committed to attracting, developing, and retaining a talented and diverse workforce. As of December 31, 2025, we had 3,620 full-time employees globally, an increase of 14.9% from 3,150 at the end of fiscal 2024.

Workforce Composition

Function	Employees (FY2025)	% of Total Workforce
Engineering & Product	1,448	40.0%
Sales & Marketing	868	24.0%
Customer Success & Support	579	16.0%
Professional Services	398	11.0%
General & Administrative	327	9.0%

We believe our compensation philosophy, which combines competitive base salaries, annual bonuses, and equity awards, aligns employee incentives with long-term shareholder value creation. We conduct an annual pay equity analysis across gender and ethnicity and have not identified any statistically significant unexplained pay gaps in our most recent analysis.

Talent Development

We invested $4.2 million in employee learning and development programs during fiscal 2025, including tuition reimbursement, internal mobility programs, and a leadership development curriculum for first-time people managers. Our voluntary employee turnover rate declined to 9.2% in fiscal 2025 from 10.4% in fiscal 2024, which we believe reflects continued investment in employee development and a competitive total rewards package.

Cybersecurity

Given the nature of our business, cybersecurity risk management is integrated into our overall enterprise risk management framework. Our Board's Risk & Security Committee has primary oversight responsibility for cybersecurity risk and receives quarterly updates from our Chief Information Security Officer (CISO).

Risk Management and Strategy

Our cybersecurity program is aligned with the NIST Cybersecurity Framework and includes continuous vulnerability management, third-party penetration testing conducted at least twice annually, an internal Security Operations Center that operates 24/7, and a formal incident response plan that is tested through tabletop exercises at least annually. We also maintain a third-party risk management program to assess the security posture of key vendors and subprocessors.

Governance

Our CISO, Thomas Nkemelu, has over 18 years of experience in information security and reports directly to our Chief Operating Officer, with a dual reporting line to the Risk & Security Committee of the Board. Material cybersecurity incidents, if any, are escalated to the Audit Committee and the full Board in accordance with our incident escalation policy.

Incidents

During fiscal 2025, we did not experience any cybersecurity incidents that materially affected, or are reasonably likely to materially affect, our business strategy, results of operations, or financial condition.

Business Segments

Northbridge Dynamics reports its business across four segments: Cloud Infrastructure, Data Analytics Platform, Professional Services, and Managed Security. Segment revenue, growth rates, and a brief description of each are provided below.

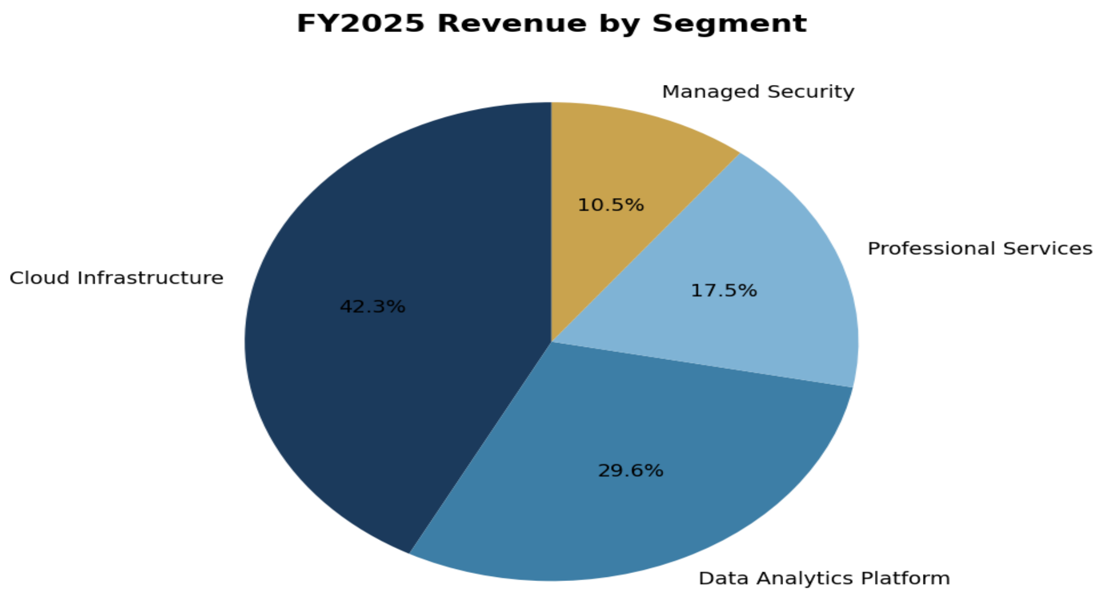

Figure 1. FY2025 revenue distribution by reportable segment.

Segment	FY2025 Revenue	% of Total	YoY Growth
Cloud Infrastructure	$312.5M	42.3%	11.2%
Data Analytics Platform	$218.7M	29.6%	22.4%
Professional Services	$129.4M	17.5%	6.8%
Managed Security	$77.8M	10.5%	48.3%
Total	$738.4M	100.0%	14.0%

Cloud Infrastructure

Our flagship segment provides compute, storage, and networking primitives via the Northbridge Core platform, enabling customers to deploy and scale containerized and virtual-machine-based workloads across multiple geographic regions with a 99.99% uptime service-level agreement.

Data Analytics Platform

Northbridge Pulse, launched in Q2 FY2025, provides real-time streaming analytics, data warehousing, and business intelligence tooling. This segment grew 22.4% year-over-year, the fastest of any segment, driven by expansion within existing accounts and new logo wins in the financial services vertical.

Professional Services

Our services organization provides implementation, migration, and ongoing optimization services to help customers realize value from the Northbridge platform more quickly. This segment carries lower gross margins than our software segments but plays a strategic role in customer retention.

Managed Security

Following the 2024 acquisition of Vantage Point Security, our Managed Security segment provides 24/7 threat monitoring, detection, and response services. This is our newest and fastest-growing segment on a percentage basis, up 48.3% year-over-year, reflecting both organic growth and a full year of contribution from the acquired business.

Market & Industry Overview

The global cloud infrastructure and data platform market continues to expand as organizations accelerate digital transformation initiatives. Industry analysts estimate the total addressable market for cloud infrastructure and platform services will grow at a compound annual growth rate of approximately 17% through 2029, driven by continued workload migration, growth in data volumes, and increasing enterprise demand for integrated security tooling.

We compete in a fragmented but consolidating market. Our primary competitors include large hyperscale cloud providers, which offer broad infrastructure services at scale, as well as a number of specialized point-solution vendors in analytics and security. We believe our integrated platform approach, which combines infrastructure, analytics, and security in a single control plane, differentiates us from both categories of competitors.

Competitive Positioning

Factor	Northbridge Dynamics	Hyperscale Providers	Point Solutions
Integrated platform	Yes	Partial	No
Mid-market focus	Yes	Limited	Varies
Managed security included	Yes	Add-on	Varies
Average implementation time	6–8 weeks	10–16 weeks	4–6 weeks
Typical contract length	24 months	12–36 months	12 months

We believe our differentiated go-to-market motion, which pairs a direct enterprise sales force with a growing network of channel partners, allows us to serve customers ranging from fast-growing mid-market companies to large multinational enterprises.

Total Addressable Market

We estimate our total addressable market by combining third-party industry research with our own internal analysis of customer spending patterns across our four segments. The table below summarizes our estimated total addressable market by segment for calendar year 2026.

Segment	Est. 2026 TAM	Est. CAGR (2026–2029)
Cloud Infrastructure	$142 billion	15%
Data Analytics Platform	$68 billion	21%
Managed Security	$54 billion	19%
Professional Services (attach)	$22 billion	12%
Total estimated TAM	$286 billion	17%

These estimates are based on assumptions that are inherently uncertain and subject to change, and actual market size may differ materially from these estimates. We believe our current market penetration, at approximately 0.26% of estimated total addressable market, provides significant runway for continued growth.

Corporate Strategy

Our long-term strategy is built around four pillars designed to expand our platform footprint within existing customers while continuing to win new logos in underpenetrated verticals.

- **Land-and-expand within enterprise accounts.** We aim to grow net revenue retention above 120% by cross-selling analytics and security capabilities into our existing infrastructure customer base.
- **Vertical specialization.** We are investing in purpose-built solutions for healthcare, financial services, and the public sector, where compliance and data residency requirements create durable switching costs.
- **Platform unification.** We continue to invest in a single control plane and unified billing experience across all four segments to reduce customer friction and increase stickiness.
- **Disciplined M&A.;** We will continue to selectively acquire complementary technologies, as demonstrated by our 2024 acquisition of Vantage Point Security, while maintaining balance sheet discipline.

FY2026 Priorities

Priority	Target Metric	FY2025 Baseline	FY2026 Target
Net revenue retention	NRR %	116%	120%+
Managed Security attach rate	% of Cloud customers	24%	32%
Gross margin	Non-GAAP gross margin	68.4%	70.0%
R&D investment	% of revenue	12.8%	13.5%

Risk Factors

Investing in our common stock involves a high degree of risk. The risks described below are not the only ones we face. Additional risks not currently known to us, or that we currently deem immaterial, may also impair our business operations. If any of the following risks actually occur, our business, financial condition, and results of operations could be materially and adversely affected.

Risks Related to Our Business and Industry

- We have a history of operating losses in prior periods and may not sustain profitability.
- Our quarterly and annual results may fluctuate significantly due to seasonality in enterprise purchasing cycles.
- We face intense competition from larger, better-capitalized hyperscale cloud providers.
- If we fail to manage our growth effectively, our business and operating results could be harmed.
- Our sales cycles for enterprise customers can be long and unpredictable, which may cause our revenue and operating results to vary significantly from period to period.

Risks Related to Cybersecurity and Data Privacy

- Any actual or perceived security breach of our platform could damage our reputation and expose us to significant liability.
- We are subject to a variety of domestic and international data privacy and protection laws, including GDPR and similar frameworks, which are subject to change and evolving interpretation.
- As a provider of managed security services, a failure to detect or prevent a security incident at a customer could result in reputational harm and potential litigation.
- We rely on third-party data centers and cloud providers for a portion of our infrastructure, and any disruption to these facilities could impair our ability to deliver our services.

Risks Related to Our Financial Condition

- We have incurred indebtedness that could affect our financial flexibility.
- Changes in foreign currency exchange rates could adversely affect our results of operations, as approximately 22% of our FY2025 revenue was denominated in currencies other than the U.S. dollar.
- Our effective tax rate may fluctuate, and changes in tax laws could adversely affect our financial results.
- Impairment of goodwill or other intangible assets recorded in connection with our acquisitions could negatively affect our operating results.

Risks Related to Our Common Stock

- The market price of our common stock has been, and may continue to be, volatile.
- Provisions in our charter documents and Delaware law could discourage a takeover that shareholders may consider favorable.
- We do not intend to pay dividends for the foreseeable future, and our share repurchase program may be suspended or discontinued at any time.
- Future sales of our common stock, or the perception that such sales may occur, could depress the market price of our common stock.

Risks Related to Our International Operations

- We generate a significant and growing portion of our revenue internationally, exposing us to risks associated with operating in multiple countries, including compliance with local laws and regulations.
- Changes in trade policy, tariffs, or export controls could adversely affect our ability to deliver services to certain international customers.
- Political or economic instability in the regions where we operate could disrupt our business operations or those of our customers.
- We may face challenges in staffing and managing our international offices, including differences in employment laws and cultural business practices.

Risks Related to Talent and Human Capital

- Our future success depends on our ability to attract, retain, and motivate qualified personnel, particularly engineering and sales talent, in a highly competitive labor market.
- The loss of one or more of our key executive officers could harm our business.
- Our stock-based compensation practices may not be sufficient to attract or retain necessary talent if our stock price declines or fails to appreciate.

Risk Factor Summary Matrix

The table below provides management's qualitative assessment of the likelihood and potential impact of each principal risk category discussed above, based on our internal enterprise risk management framework.

Risk Category	Likelihood	Potential Impact	Mitigation Owner
Competitive pressure	High	High	Chief Revenue Officer
Cybersecurity incident	Medium	High	Chief Information Security Officer
Currency fluctuation	High	Medium	Chief Financial Officer
Regulatory / data privacy	Medium	Medium	General Counsel
Talent retention	Medium	Medium	Chief People Officer
Integration of acquisitions	Low	Medium	Chief Operating Officer
Customer concentration	Low	Low	Chief Revenue Officer

No single customer accounted for more than 3% of total revenue in fiscal 2025, and our top ten customers collectively represented approximately 14% of total revenue, which we believe mitigates customer concentration risk relative to earlier stages of our growth.

Management's Discussion and Analysis (MD&A;)

The following discussion and analysis should be read together with our consolidated financial statements and related notes included elsewhere in this report. This discussion contains forward-looking statements that involve risks and uncertainties.

Overview of Results

Total revenue for fiscal year 2025 was $738.4 million, an increase of 14.0% compared to $647.9 million in fiscal year 2024. This growth was driven primarily by expansion within our Data Analytics Platform and Managed Security segments, as well as continued growth in Cloud Infrastructure consumption revenue.

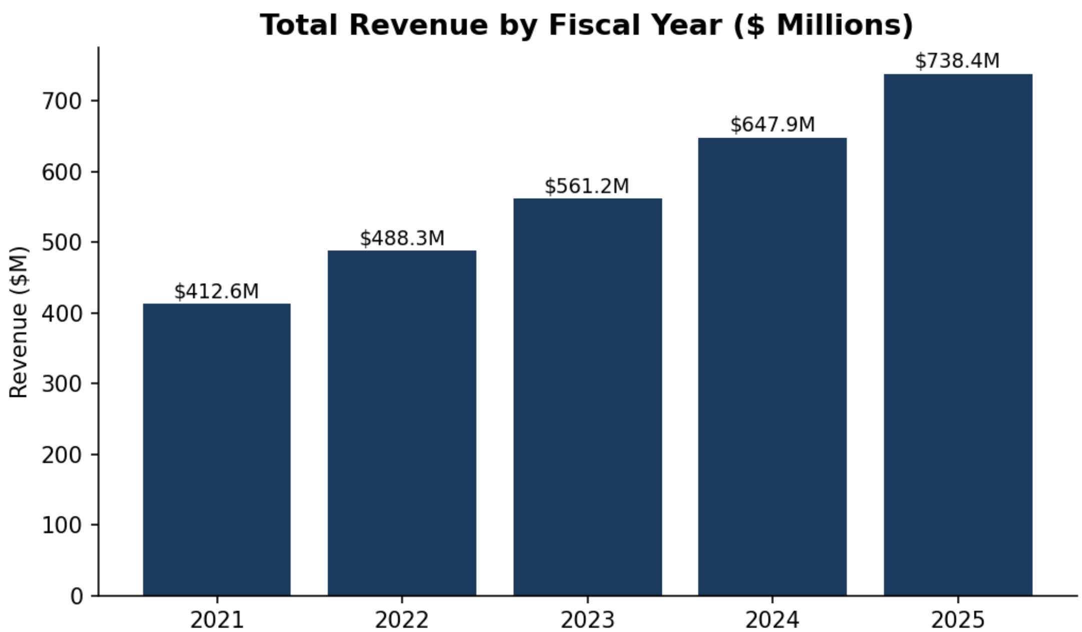

Figure 2. Total revenue by fiscal year, 2021–2025 ($ millions).

Results of Operations

($ in millions, except per share data)	FY2025	FY2024	% Change
Revenue	738.4	647.9	+14.0%
Cost of revenue	233.4	212.4	+9.9%
Gross profit	505.0	435.5	+16.0%
Gross margin	68.4%	67.2%	+1.2 pts
Research and development	94.7	79.1	+19.7%
Sales and marketing	168.2	148.6	+13.2%
General and administrative	84.9	76.3	+11.3%
Operating income	157.2	131.5	+19.5%

($ in millions, except per share data)	FY2025	FY2024	% Change
Net income	103.6	84.3	+22.9%
Diluted earnings per share	$1.42	$1.17	+21.4%

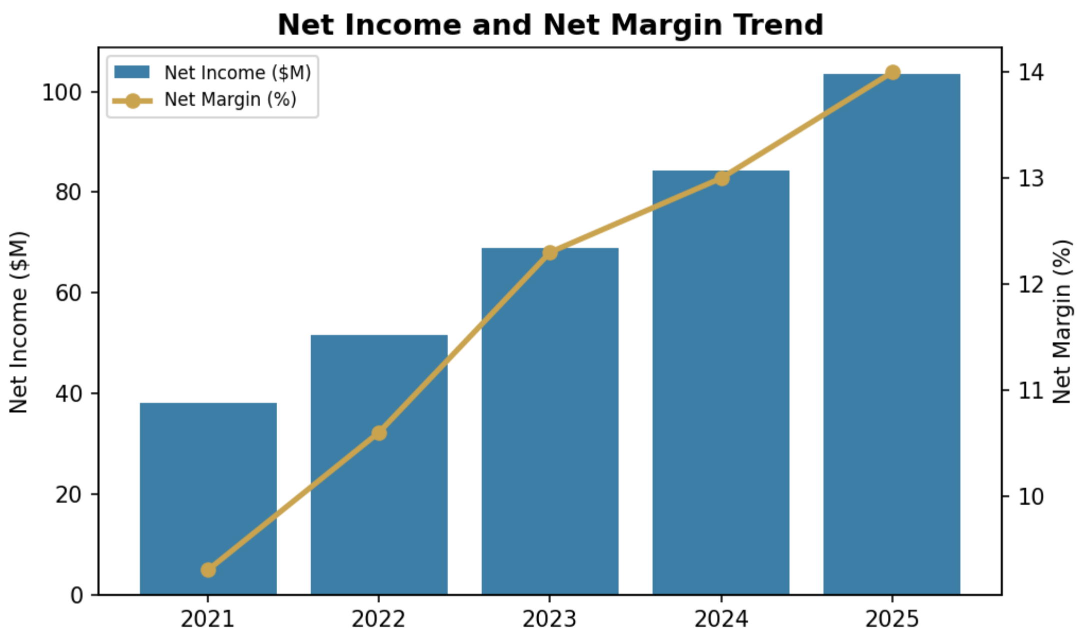

Figure 3. Net income and net margin trend, 2021–2025.

Revenue Discussion

Subscription and platform revenue, which includes our Cloud Infrastructure and Data Analytics Platform segments, grew 15.9% year-over-year and represented 71.9% of total revenue in fiscal 2025, compared to 70.9% in fiscal 2024. We believe the increasing mix of subscription and platform revenue reflects the success of our land-and-expand go-to-market strategy and improves the predictability of our revenue base.

International revenue grew 18.2% year-over-year and represented 27.4% of total revenue, compared to 26.5% in the prior year, reflecting continued investment in our European and Asia-Pacific go-to-market teams.

Operating Expenses

Research and development expense increased 19.7% year-over-year to $94.7 million, representing 12.8% of total revenue, as we continued to invest in the Northbridge Pulse analytics engine and expanded our Managed Security detection capabilities.

Sales and marketing expense increased 13.2% year-over-year to $168.2 million, roughly in line with revenue growth, as we continued to invest in enterprise account executives and channel partner programs while achieving modest operating leverage.

General and administrative expense increased 11.3% year-over-year to $84.9 million, growing slower than revenue, reflecting continued operating leverage in back-office functions.

Liquidity and Capital Resources

As of December 31, 2025, we had $286.3 million in cash and cash equivalents and $124.6 million in short-term investments, compared to $241.8 million and $98.2 million, respectively, as of December 31, 2024. We generated $178.4 million in cash flow from operations during fiscal 2025, compared to $146.2 million in fiscal 2024.

($ in millions)	FY2025	FY2024
Cash and cash equivalents	286.3	241.8
Short-term investments	124.6	98.2
Total debt	180.0	180.0
Cash flow from operations	178.4	146.2
Free cash flow	142.6	112.3
Capital expenditures	35.8	33.9

We believe our existing cash, cash equivalents, short-term investments, and cash flow from operations will be sufficient to meet our working capital and capital expenditure needs for at least the next twelve months.

Key Business Metrics

We monitor the following key business metrics to evaluate our business, measure our performance, identify trends, formulate business plans, and make strategic decisions.

Metric	FY2025	FY2024	FY2023
Net revenue retention rate	116%	112%	109%
Annual recurring revenue (ARR)	$612.7M	$536.2M	$462.1M
Number of customers >$100K ARR	487	398	312
Non-GAAP gross margin	70.1%	68.9%	67.5%
Rule of 40 score	34.0	33.0	31.2

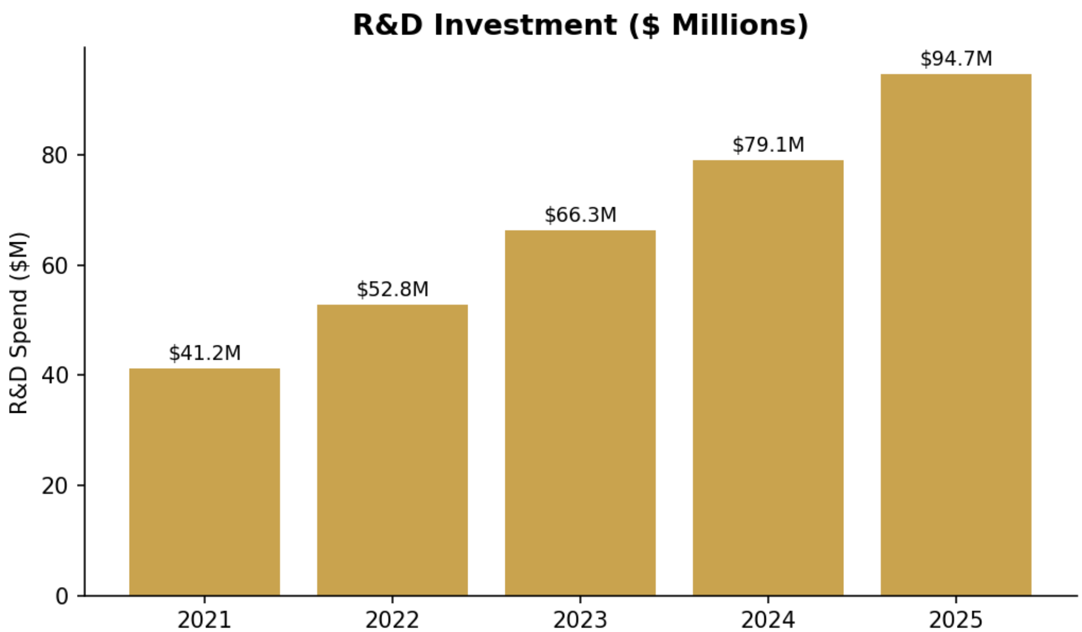

Figure 4. R&D; investment, 2021–2025 ($ millions).

Critical Accounting Policies and Estimates

The preparation of our consolidated financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenue, and expenses. We base our estimates on historical experience and various other assumptions that we believe are reasonable under the circumstances. Our most critical accounting policies relate to revenue recognition, goodwill and intangible asset impairment, stock-based compensation, and income taxes, each of which is discussed further in the notes to our consolidated financial statements.

Revenue Recognition. We recognize revenue in accordance with ASC 606, Revenue from Contracts with Customers. Subscription revenue is recognized ratably over the contract term, while professional services revenue is generally recognized as services are delivered.

Goodwill and Intangible Assets. We test goodwill for impairment annually as of October 1, or more frequently if events or changes in circumstances indicate the carrying value may not be recoverable. No impairment was recorded during fiscal 2025 or fiscal 2024.

Stock-Based Compensation. We measure stock-based compensation expense based on the grant-date fair value of the award and recognize the expense on a straight-line basis over the requisite service period.

Non-GAAP Financial Measures

In addition to our results determined in accordance with GAAP, we believe non-GAAP gross profit, non-GAAP operating income, and free cash flow are useful in evaluating our operating performance. We believe these non-GAAP financial measures provide meaningful supplemental information regarding our performance by excluding certain items that may not be indicative of our core business operating results. These non-GAAP measures should be considered in addition to, and not as a substitute for or superior to, measures prepared in accordance with GAAP.

($ in millions)	FY2025	FY2024	FY2023
GAAP gross profit	505.0	435.5	369.1
Stock-based compensation (cost of revenue)	9.8	8.1	6.4
Amortization of acquired intangibles	8.2	7.4	5.9
Non-GAAP gross profit	523.0	451.0	381.4
Non-GAAP gross margin	70.8%	69.6%	68.0%
GAAP operating income	157.2	131.5	105.7
Stock-based compensation (total)	38.9	32.4	26.8
Amortization of acquired intangibles	18.6	16.2	13.8
Non-GAAP operating income	214.7	180.1	146.3
Non-GAAP operating margin	29.1%	27.8%	26.1%

Properties

Our corporate headquarters is located in Denver, Colorado, where we lease approximately 142,000 square feet of office space under a lease expiring in 2031. We also lease office space in Austin, Texas; Toronto, Canada; Dublin, Ireland; and Singapore, in addition to co-located data center capacity in nine metropolitan regions worldwide. We believe our existing facilities are adequate to meet our current needs, and we expect to add facilities as needed to accommodate future growth.

Location	Function	Approx. Square Footage	Lease Expiration
Denver, Colorado	Corporate headquarters	142,000	2031
Austin, Texas	Engineering & R&D	68,000	2029
Toronto, Canada	Sales & customer success	31,000	2027
Dublin, Ireland	EMEA headquarters	42,000	2030
Singapore	APAC headquarters	24,000	2028

Legal Proceedings

From time to time, we are party to various legal proceedings and claims that arise in the ordinary course of business, including claims related to commercial disputes, employment matters, and intellectual property. We are not currently a party to any legal proceedings that we believe, individually or in the aggregate, would have a material adverse effect on our business, financial condition, or results of operations. However, litigation is inherently unpredictable, and any claims against us, regardless of merit, could be time-consuming, result in costly litigation, require significant management attention, and result in unfavorable outcomes.

We record a liability when we believe it is probable that a loss has been incurred and the amount can be reasonably estimated. As of December 31, 2025, we had not recorded any material accrual for loss contingencies related to legal matters.

Controls and Procedures

Disclosure Controls and Procedures

Our management, with the participation of our Chief Executive Officer and Chief Financial Officer, evaluated the effectiveness of our disclosure controls and procedures as of December 31, 2025. Based on that evaluation, our Chief Executive Officer and Chief Financial Officer concluded that our disclosure controls and procedures were effective at a reasonable assurance level.

Management's Report on Internal Control over Financial Reporting

Management is responsible for establishing and maintaining adequate internal control over financial reporting. Management assessed the effectiveness of our internal control over financial reporting as of December 31, 2025, using the criteria set forth by the Committee of Sponsoring Organizations of the Treadway Commission (COSO) in Internal Control — Integrated Framework (2013). Based on this assessment, management concluded that our internal control over financial reporting was effective as of December 31, 2025.

Report of Independent Registered Public Accounting Firm

To the Board of Directors and Shareholders of Northbridge Dynamics, Inc.: We have audited the accompanying consolidated balance sheets of Northbridge Dynamics, Inc. as of December 31, 2025 and 2024, and the related consolidated statements of operations, comprehensive income, stockholders' equity, and cash flows for each of the three years in the period ended December 31, 2025. In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for each of the three years in the period ended December 31, 2025, in conformity with U.S. generally accepted accounting principles.

Halloway & Byrne LLP, Denver, Colorado — February 18, 2026 (fictional)

Selected Quarterly Financial Data (Unaudited)

The following table presents selected unaudited quarterly financial data for fiscal years 2025 and 2024. This information has been prepared on the same basis as our audited consolidated financial statements and reflects, in management's opinion, all normal recurring adjustments necessary for a fair statement of the data for the periods presented.

Fiscal Year 2025

($ in millions, except per share)	Q1 2025	Q2 2025	Q3 2025	Q4 2025
Revenue	168.9	179.4	188.6	201.5
Gross profit	114.6	122.3	129.1	139.0
Operating income	33.8	38.1	40.7	44.6
Net income	22.1	25.0	26.9	29.6
Diluted EPS	$0.30	$0.34	$0.37	$0.41

Fiscal Year 2024

($ in millions, except per share)	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Revenue	148.2	157.6	166.9	175.2
Gross profit	99.4	105.8	112.3	118.0
Operating income	28.1	31.6	34.2	37.6
Net income	18.0	20.3	22.1	23.9
Diluted EPS	$0.25	$0.28	$0.31	$0.33

Customer Spotlight

The following brief case studies illustrate how representative customers (composite, anonymized profiles) use the Northbridge platform in production.

Case Study: Meridian Health Network

A regional healthcare network with more than 40 facilities migrated its patient data analytics workloads to Northbridge Pulse in fiscal 2025, reducing average query latency by 64% and enabling near-real-time bed-capacity forecasting across its facility network. The engagement began as a Professional Services pilot and expanded to a multi-year Data Analytics Platform subscription within nine months.

Case Study: Bellcross Financial Group

A mid-sized financial services firm adopted Northbridge's Managed Security offering following the Vantage Point Security acquisition, consolidating three previously disparate security tools onto a single platform. The customer reported a 38% reduction in mean time to detect (MTTD) security incidents within the first two quarters of deployment.

Case Study: Falkstone Retail Holdings

A multinational retail holding company standardized its e-commerce infrastructure on Northbridge Core, supporting peak seasonal traffic of over 2.1 million concurrent sessions during the fiscal 2025 holiday shopping period without service degradation.

Technology Platform Overview

The Northbridge platform is built on a distributed, multi-tenant architecture designed for high availability, elastic scalability, and regulatory compliance across multiple jurisdictions. The platform is organized into four primary layers, described in the table below.

Layer	Description	Key Capabilities
Infrastructure Layer	Compute, storage, and networking primitives	Auto-scaling, multi-region replication, 99.99% SLA
Data Layer	Managed databases and streaming pipelines	Real-time ETL, columnar storage, change-data-capture
Analytics Layer	Northbridge Pulse analytics engine	Sub-second query response, embedded BI, ML feature store
Security Layer	Managed detection & response	24/7 SOC monitoring, automated remediation, compliance reporting

We hold SOC 2 Type II, ISO 27001, and HIPAA compliance certifications across our platform, and our European data centers are further certified under the EU Cloud Code of Conduct to support customer data residency requirements.

Platform Certifications

- SOC 2 Type II (all four trust service categories)
- ISO/IEC 27001:2022
- HIPAA / HITECH compliance attestation
- PCI DSS Level 1 Service Provider
- EU Cloud Code of Conduct
- FedRAMP Moderate (in progress, expected fiscal 2026)

Consolidated Financial Statements

The following consolidated financial statements have been prepared in accordance with U.S. generally accepted accounting principles (GAAP). All figures are presented in millions of U.S. dollars unless otherwise noted. These statements are fictional and prepared solely for software testing purposes.

Consolidated Statements of Operations

($ in millions, except per share data)	FY2025	FY2024	FY2023
Revenue	738.4	647.9	561.2
Cost of revenue	233.4	212.4	192.1
Gross profit	505.0	435.5	369.1
Research and development	94.7	79.1	66.3
Sales and marketing	168.2	148.6	128.4
General and administrative	84.9	76.3	68.7
Total operating expenses	347.8	304.0	263.4
Operating income	157.2	131.5	105.7
Interest expense, net	(8.4)	(7.9)	(6.2)
Other income (expense), net	1.6	0.9	0.4
Income before income taxes	150.4	124.5	99.9
Provision for income taxes	46.8	40.2	31.0
Net income	103.6	84.3	68.9
Basic earnings per share	$1.48	$1.22	$1.02
Diluted earnings per share	$1.42	$1.17	$0.98
Weighted-average diluted shares (millions)	72.9	72.1	70.3

Consolidated Balance Sheets

($ in millions)	Dec 31, 2025	Dec 31, 2024
Assets		
Cash and cash equivalents	286.3	241.8
Short-term investments	124.6	98.2
Accounts receivable, net	112.8	97.4
Prepaid expenses and other current assets	28.4	24.1
Total current assets	552.1	461.5
Property and equipment, net	86.3	78.9
Goodwill	312.7	312.7
Intangible assets, net	68.4	79.2
Operating lease right-of-use assets	34.2	31.8
Other long-term assets	18.6	15.3
Total assets	1,072.3	979.4
Liabilities		
Accounts payable	24.6	21.3
Accrued expenses and other current liabilities	68.9	58.4
Deferred revenue, current	218.4	189.6
Total current liabilities	311.9	269.3
Long-term debt	180.0	180.0
Deferred revenue, non-current	22.1	19.8
Other long-term liabilities	28.7	26.4
Total liabilities	542.7	495.5
Total stockholders' equity	529.6	483.9
Total liabilities and stockholders' equity	1,072.3	979.4

Consolidated Statements of Cash Flows

($ in millions)	FY2025	FY2024	FY2023
Net income	103.6	84.3	68.9
Depreciation and amortization	42.3	38.1	33.6
Stock-based compensation	38.9	32.4	26.8
Changes in working capital	(6.4)	(8.6)	(4.2)
Net cash from operating activities	178.4	146.2	125.1
Capital expenditures	(35.8)	(33.9)	(28.4)
Acquisitions, net of cash acquired	—	(132.8)	—
Purchases of investments, net	(26.4)	(18.2)	(14.6)
Net cash used in investing activities	(62.2)	(184.9)	(43.0)
Proceeds from stock option exercises	12.8	10.4	9.1
Share repurchases	(40.0)	(25.0)	—
Repayment of debt	—	—	(15.0)
Net cash used in financing activities	(27.2)	(14.6)	(5.9)
Net increase (decrease) in cash	89.0	(53.3)	76.2

Notes to Consolidated Financial Statements

Note 1. Description of Business

Northbridge Dynamics, Inc. was incorporated in Delaware in 2011 and provides cloud infrastructure, data analytics, and managed security solutions to enterprise and mid-market customers globally. The Company's fiscal year ends on December 31.

Note 2. Summary of Significant Accounting Policies

The accompanying consolidated financial statements have been prepared in accordance with U.S. GAAP. The consolidated financial statements include the accounts of Northbridge Dynamics, Inc. and its wholly owned subsidiaries. All intercompany balances and transactions have been eliminated in consolidation. The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect reported amounts.

Note 3. Revenue Recognition

The Company generates revenue from subscription fees, usage-based cloud consumption, and professional services. Subscription revenue is recognized ratably over the contract term, generally 12 to 36 months. Usage-based revenue is recognized as the usage occurs. Professional services revenue is recognized as services are performed. Deferred revenue represents amounts billed to customers in advance of revenue recognition.

Note 4. Business Combinations

On March 4, 2024, the Company acquired 100% of the outstanding equity of Vantage Point Security for total consideration of $132.8 million, consisting of $98.4 million in cash and $34.4 million in Company common stock. The acquisition was accounted for as a business combination, with $61.2 million allocated to goodwill and $28.9 million allocated to identifiable intangible assets, primarily developed technology and customer relationships.

Note 5. Goodwill and Intangible Assets

The carrying amount of goodwill was $312.7 million as of both December 31, 2025 and 2024. Intangible assets, net, consisted primarily of developed technology, customer relationships, and trade names, and are amortized on a straight-line basis over their estimated useful lives of 3 to 10 years. Amortization expense related to intangible assets was $18.6 million, $16.2 million, and $13.8 million for fiscal years 2025, 2024, and 2023, respectively.

Note 6. Debt

The Company's long-term debt consists of $180.0 million in unsecured senior notes issued in 2022, bearing interest at a fixed rate of 4.65% per annum and maturing in 2029. The Company was in compliance with all financial covenants under the related credit agreement as of December 31, 2025.

Note 7. Leases

The Company leases office space under non-cancelable operating leases with remaining terms ranging from 1 to 8 years. Operating lease right-of-use assets and corresponding lease liabilities are recognized at the present value of future minimum lease payments. Total operating lease expense was $12.4 million, $11.1 million, and $9.8 million for fiscal years 2025, 2024, and 2023, respectively.

Note 8. Income Taxes

The Company's effective tax rate was 31.1%, 32.3%, and 31.0% for fiscal years 2025, 2024, and 2023, respectively. The effective tax rate differs from the U.S. federal statutory rate primarily due to state income taxes, non-deductible stock-based compensation, and the impact of foreign operations taxed at different rates.

Note 9. Stock-Based Compensation

The Company grants restricted stock units (RSUs) and stock options to employees and directors under its 2019 Equity Incentive Plan. Total stock-based compensation expense was $38.9 million, $32.4 million, and $26.8 million for fiscal years 2025, 2024, and 2023, respectively. As of December 31, 2025, there was $86.4 million of unrecognized compensation expense related to unvested awards, expected to be recognized over a weighted-average period of 2.7 years.

Note 10. Commitments and Contingencies

The Company is subject to various legal proceedings and claims arising in the ordinary course of business. Management does not believe that the resolution of these matters will have a material adverse effect on the Company's consolidated financial statements. The Company had non-cancelable purchase commitments related to cloud data center capacity of approximately $64.2 million as of December 31, 2025.

Note 11. Segment Information

The Company operates in four reportable segments: Cloud Infrastructure, Data Analytics Platform, Professional Services, and Managed Security. The Company's chief operating decision maker evaluates segment performance based on segment revenue and gross profit, as presented in the table below.

($ in millions)	Cloud Infra.	Data Analytics	Prof. Services	Managed Security
Revenue	312.5	218.7	129.4	77.8
Segment gross profit	224.1	158.4	58.6	63.9
Segment gross margin	71.7%	72.4%	45.3%	82.1%

Note 12. Earnings Per Share

Basic earnings per share is computed by dividing net income by the weighted-average number of common shares outstanding during the period. Diluted earnings per share is computed by dividing net income by the weighted-average number of common shares outstanding, adjusted for the dilutive effect of outstanding stock options and restricted stock units, using the treasury stock method.

Note 13. Fair Value Measurements

The Company's financial assets and liabilities measured at fair value on a recurring basis consist primarily of cash equivalents and short-term investments, which are classified as Level 1 or Level 2 within the fair value hierarchy. The Company did not have any financial assets or liabilities classified as Level 3 as of December 31, 2025 or 2024.

Note 14. Employee Benefit Plans

The Company maintains a defined contribution 401(k) plan covering substantially all U.S. employees, under which the Company matches a portion of employee contributions. The Company also maintains an Employee Stock Purchase Plan (ESPP) that allows eligible employees to purchase common stock at a discount. Total expense related to employer matching contributions was $8.4 million, $7.1 million, and $6.0 million for fiscal years 2025, 2024, and 2023, respectively.

Note 15. Concentration of Credit Risk

Financial instruments that potentially subject the Company to concentrations of credit risk consist primarily of cash, cash equivalents, short-term investments, and accounts receivable. The Company maintains its cash and cash equivalents with financial institutions with high credit ratings. No single customer accounted for more than 3% of accounts receivable or total revenue during fiscal 2025.

Note 16. Related Party Transactions

During fiscal 2025, the Company did not enter into any material related party transactions other than standard compensation arrangements with executive officers and directors, which are described in the Company's annual proxy statement.

Note 17. Subsequent Events

The Company has evaluated subsequent events through the date these financial statements were issued and has determined that no material subsequent events occurred that would require recognition or disclosure in the consolidated financial statements.

Corporate Governance & Board of Directors

Northbridge Dynamics is committed to strong corporate governance practices that promote the long-term interests of our shareholders, strengthen board and management accountability, and build public trust in the Company. Our Board of Directors consists of nine members, seven of whom are independent under applicable NYSE listing standards.

Name	Position	Director Since	Independent
Eleanor J. Whitfield	Chief Executive Officer & Director	2011	No
Marcus T. Delgado	Chief Financial Officer	—	No
Dr. Priya Ramaswamy	Chair of the Board	2019	Yes
Jonathan H. Ferreira	Director	2019	Yes
Naomi Osei-Bonsu	Director	2020	Yes
Richard C. Lindqvist	Director	2020	Yes
Dr. Wei-Ling Tan	Director	2021	Yes
Sofia Marchetti	Director	2022	Yes
Andre P. Kowalski	Director	2023	Yes

Board Committees

Committee	Chair	Primary Responsibilities
Audit Committee	Richard C. Lindqvist	Financial reporting oversight, internal controls, independent auditor
Compensation Committee	Naomi Osei-Bonsu	Executive compensation, equity plans, succession planning
Nominating & Governance	Dr. Priya Ramaswamy	Board composition, governance policies, director nominations
Risk & Security Committee	Dr. Wei-Ling Tan	Cybersecurity oversight, enterprise risk management

Executive Officers

In addition to Ms. Whitfield and Mr. Delgado, our executive leadership team includes the following officers: Dana Whitcombe Isikawa, Chief Operating Officer; Michael Osei, Chief Technology Officer; Farah Al-Sayed, Chief Revenue Officer; Rebecca Lin Hartmann, Chief People Officer; and Thomas Nkemelu, Chief Information Security Officer. Biographical information for each executive officer is available in our annual proxy statement.

Director Biographies

Dr. Priya Ramaswamy — Chair of the Board

Dr. Ramaswamy has served as an independent director since 2019 and was appointed Chair of the Board in 2023. She previously served as Chief Technology Officer of a global payments company and holds a Ph.D. in Computer Science from the University of Michigan. She currently serves on the boards of two other publicly traded technology companies.

Jonathan H. Ferreira — Director

Mr. Ferreira has served as an independent director since 2019. He is a General Partner at a venture capital firm focused on enterprise software and previously held senior product leadership roles at two publicly traded infrastructure software companies.

Naomi Osei-Bonsu — Director

Ms. Osei-Bonsu has served as an independent director since 2020 and chairs our Compensation Committee. She previously served as Chief Human Resources Officer of a Fortune 500 technology company and brings extensive experience in executive compensation and organizational design.

Richard C. Lindqvist — Director

Mr. Lindqvist has served as an independent director since 2020 and chairs our Audit Committee. He is a retired audit partner from a Big Four accounting firm and is designated as an “audit committee financial expert” under applicable SEC rules.

Dr. Wei-Ling Tan — Director

Dr. Tan has served as an independent director since 2021 and chairs our Risk & Security Committee. She previously served as Chief Information Security Officer at a global financial institution and holds a Ph.D. in Electrical Engineering.

Sofia Marchetti — Director

Ms. Marchetti has served as an independent director since 2022. She is the founder and CEO of a European enterprise software company and brings international go-to-market expertise to the Board.

Andre P. Kowalski — Director

Mr. Kowalski has served as an independent director since 2023. He is a Managing Director at a growth equity firm and previously served as Chief Financial Officer of a publicly traded cloud infrastructure company.

Executive Compensation Summary

The following table summarizes total compensation for our named executive officers for fiscal year 2025, as further detailed in our annual proxy statement. Amounts are presented in U.S. dollars.

Name and Principal Position	Salary	Bonus	Stock Awards	Total Compensation
Eleanor J. Whitfield, CEO	$650,000	$487,500	$4,200,000	$5,337,500
Marcus T. Delgado, CFO	$475,000	$285,000	$2,100,000	$2,860,000
Dana Whitcombe Isikawa, COO	$460,000	$276,000	$1,950,000	$2,686,000
Michael Osei, CTO	$455,000	$273,000	$2,050,000	$2,778,000
Farah Al-Sayed, CRO	$440,000	$352,000	$1,800,000	$2,592,000

Our executive compensation program is designed to attract, retain, and motivate executive talent while aligning pay with Company performance. Approximately 79% of CEO target total direct compensation for fiscal 2025 was delivered in the form of at-risk pay (annual bonus and equity awards), reflecting our pay-for-performance philosophy.

CEO Pay Ratio

For fiscal 2025, the ratio of our CEO's annual total compensation to that of our median employee was approximately 68:1. This ratio was calculated in accordance with SEC rules and is based on reasonable estimates and assumptions permitted under those rules.

Environmental, Social & Governance (ESG) Report

Sustainability and responsible business practices are core to how we operate. This section summarizes our fiscal 2025 performance across environmental, social, and governance dimensions.

Environmental

We have committed to achieving net-zero operational emissions (Scope 1 and 2) by 2030. In fiscal 2025, our Scope 1 and 2 greenhouse gas emissions totaled 9.3 thousand metric tons of CO2 equivalent, a 21.2% reduction from fiscal 2024, driven by continued migration of our data center footprint to renewable-energy-powered facilities.

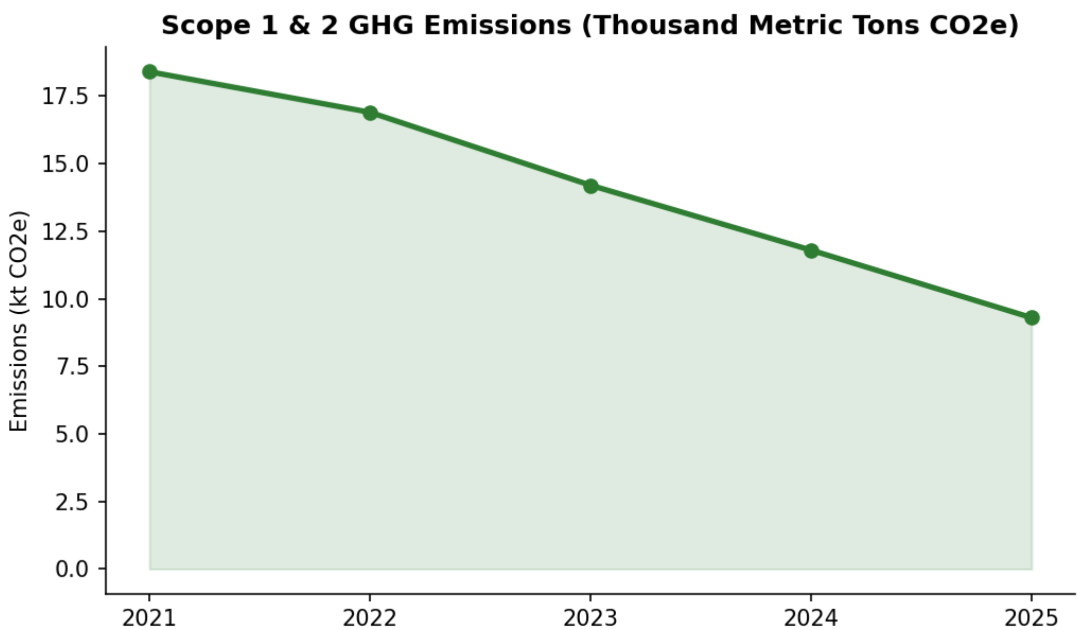

Figure 5. Scope 1 & 2 GHG emissions, 2021–2025 (thousand metric tons CO2e).

Social

Our global headcount grew to 3,620 employees as of December 31, 2025, up from 3,150 a year earlier. Women held 41% of leadership positions (director level and above) at fiscal year-end, up from 37% in the prior year, reflecting continued progress against our diversity, equity, and inclusion goals.

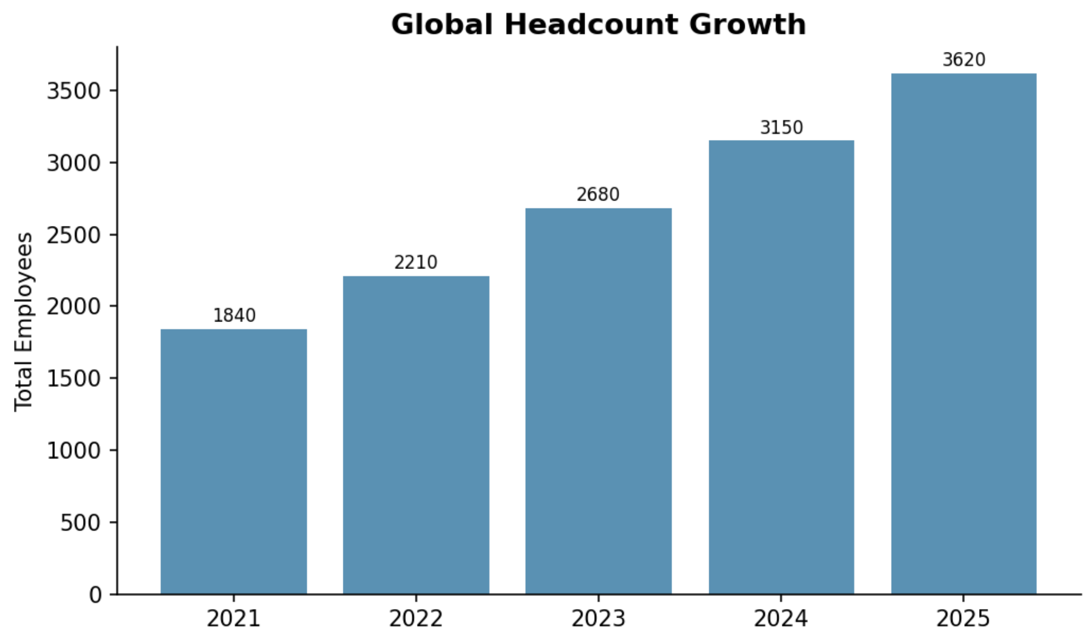

Figure 6. Global headcount growth, 2021–2025.

Metric	FY2025	FY2024	FY2023
Total employees	3,620	3,150	2,680
Employee voluntary turnover	9.2%	10.4%	11.8%
Women in leadership roles	41%	37%	34%
Employee engagement score	82/100	79/100	76/100
Volunteer hours contributed	14,200	11,600	8,900

Governance

We maintain a robust governance framework, including an independent Board Chair, annual director elections, a majority-voting standard for uncontested director elections, and a Risk & Security Committee dedicated to cybersecurity oversight given the nature of our business. All directors and executive officers are subject to our Code of Business Conduct and Ethics.

We publish an annual sustainability report in accordance with the Sustainability Accounting Standards Board (SASB) framework for the Software & IT Services industry, available on our investor relations website.

Five-Year Selected Financial Data

The following table sets forth selected consolidated financial data for each of the last five fiscal years. This data should be read in conjunction with our consolidated financial statements and related notes included elsewhere in this report.

($ in millions, except per share data)	2025	2024	2023	2022	2021
Total revenue	738.4	647.9	561.2	488.3	412.6
Gross profit	505.0	435.5	369.1	312.6	255.4
Operating income	157.2	131.5	105.7	82.4	58.9
Net income	103.6	84.3	68.9	51.7	38.2
Diluted EPS	$1.42	$1.17	$0.98	$0.75	$0.57
Total assets	1,072.3	979.4	812.6	684.2	561.8
Total stockholders' equity	529.6	483.9	412.7	356.4	298.1
Cash flow from operations	178.4	146.2	125.1	98.7	76.4

Shareholder Information

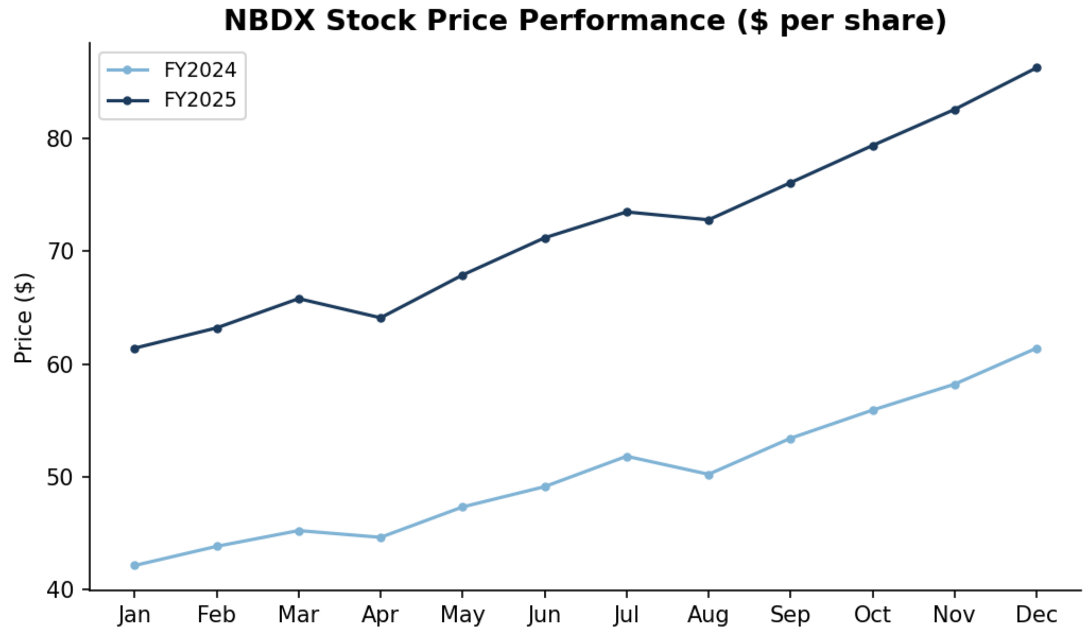

Figure 7. NBDX monthly closing stock price, FY2024–FY2025 ($ per share).

Stock Performance

Our common stock trades on the New York Stock Exchange under the ticker symbol “NBDX.” As of December 31, 2025, our closing stock price was $86.30 per share, compared to $61.40 per share at the end of fiscal 2024, representing an increase of 40.6% over the period.

Item	Detail
Exchange	New York Stock Exchange
Ticker Symbol	NBDX
Shares Outstanding (as of 12/31/2025)	72.4 million
FY2025 Closing Price	$86.30
52-Week High / Low	$86.30 / $60.10
Annual Meeting Date	May 14, 2026
Transfer Agent	Continental Registrar & Trust Co.
Independent Registered Public Accounting Firm	Halloway & Byrne LLP

Investor Frequently Asked Questions

When is Northbridge Dynamics' fiscal year end?

Our fiscal year ends on December 31. We report quarterly results approximately four to six weeks after the close of each fiscal quarter.

Does Northbridge Dynamics pay a dividend?

No. We have not declared or paid cash dividends on our common stock and do not anticipate paying any cash dividends in the foreseeable future, as we intend to retain future earnings to finance the growth of our business.

How can I access historical financial filings?

Historical annual reports, quarterly reports, and proxy statements are available on the Investor Relations section of our corporate website and through the SEC's EDGAR database.

Who is Northbridge Dynamics' independent registered public accounting firm?

Halloway & Byrne LLP has served as our independent registered public accounting firm since our initial public offering in 2019 (fictional).

How do I contact Investor Relations?

Shareholders and analysts may contact our Investor Relations team through the contact information listed on the Investor Relations page of our corporate website.

Community & Philanthropy

Through the Northbridge Foundation, established in 2020, we support nonprofit organizations focused on STEM education and digital access for underserved communities. In fiscal 2025, the Foundation, together with employee giving and volunteer programs, contributed more than $2.1 million in grants and in-kind technology donations to over 60 nonprofit partners globally.

Program	FY2025 Impact
Northbridge Foundation grants	$2.1 million to 60+ nonprofit partners
Employee volunteer hours	14,200 hours contributed
Scholarship program	48 scholarships awarded to students in computer science
Employee matching gifts	$680,000 matched by the Company

We believe that investing in the communities where our employees live and work strengthens our talent pipeline and reinforces our culture of giving back.

Glossary of Terms

Term	Definition
ARR	Annual Recurring Revenue — the annualized value of subscription contracts in force.
Net Revenue Retention (NRR)	A measure of revenue growth or loss from existing customers over a trailing twelve-month period, including
Rule of 40	A metric calculated as the sum of revenue growth rate and profit margin, used to evaluate the balance of gr
Non-GAAP Gross Margin	Gross margin adjusted to exclude the impact of stock-based compensation and amortization of acquired int
Free Cash Flow	Cash flow from operating activities less capital expenditures.
Scope 1 & 2 Emissions	Direct greenhouse gas emissions from owned or controlled sources (Scope 1) and indirect emissions from p
SASB	Sustainability Accounting Standards Board, an organization that sets industry-specific sustainability disclos

Appendix A: List of Principal Subsidiaries

The following is a list of Northbridge Dynamics' principal subsidiaries as of December 31, 2025, all of which are wholly owned unless otherwise noted.

Subsidiary Name	Jurisdiction of Incorporation
Northbridge Dynamics International, Inc.	Delaware, USA
Northbridge Dynamics Europe Ltd.	Ireland
Northbridge Dynamics Canada, Inc.	Ontario, Canada
Northbridge Dynamics Asia Pacific Pte. Ltd.	Singapore
Vantage Point Security, Inc.	Delaware, USA
Aperture Labs, Inc.	Delaware, USA
Meridian Compute, LLC	Delaware, USA
Cascadia DataWorks, Inc.	Washington, USA

Appendix B: Definitions of Non-GAAP Financial Measures

Non-GAAP Gross Profit / Margin

GAAP gross profit adjusted to exclude stock-based compensation expense and amortization of acquired intangible assets included in cost of revenue.

Non-GAAP Operating Income / Margin

GAAP operating income adjusted to exclude stock-based compensation expense, amortization of acquired intangible assets, and acquisition-related transaction costs.

Free Cash Flow

Net cash provided by operating activities less purchases of property and equipment (capital expenditures).

Annual Recurring Revenue (ARR)

The annualized value of active subscription contracts as of the last day of a given period, calculated by annualizing the subscription revenue run-rate.

Net Revenue Retention Rate

Calculated by dividing the ARR from a cohort of customers as of the end of a trailing twelve-month period by the ARR from that same cohort of customers at the beginning of the period, including the impact of expansions, contractions, and churn, but excluding revenue from new customers acquired during the period.

We believe these non-GAAP financial measures, when taken together with the corresponding GAAP measures, provide meaningful supplemental information regarding our operating performance. However, there are limitations in using these non-GAAP measures, and other companies, including companies in our industry, may calculate similarly titled non-GAAP measures differently, limiting their usefulness as a comparative measure.

Appendix C: Document Revision History

Version	Date	Description
1.0	February 18, 2026	Initial publication of fiscal year 2025 Annual Report
1.0 (test)	July 5, 2026	Synthetic test copy generated for RAG/document QA evaluation

End of Report. This document is entirely fictional and was generated for the purpose of testing document parsing, chunking, and retrieval-augmented generation (RAG) systems. No portion of this document should be interpreted as real financial, legal, or investment information.